

PRICE ACTION MADNESS

PART ONE!

Starting 1900 CT tonight



Theo**TRADE**

Goals for Tonight

- There has been a lot of interest lately in finding ways to improve our “price action” reads.
- We’ll start the process tonight and see where this goes based on where the Theo populace drives me....
- Different Types of Price Action Techniques
- Categorizing and Analyzing Price Action Exercises
- Questions

1) What is Price Action and why do we care?

Most of us learn chart analysis from the beginning by slapping indicators on the chart.

No one really bothers to teach “price” because either it’s too hard, or doesn’t look cool. So we compensate by adding “more.”

More = Better?

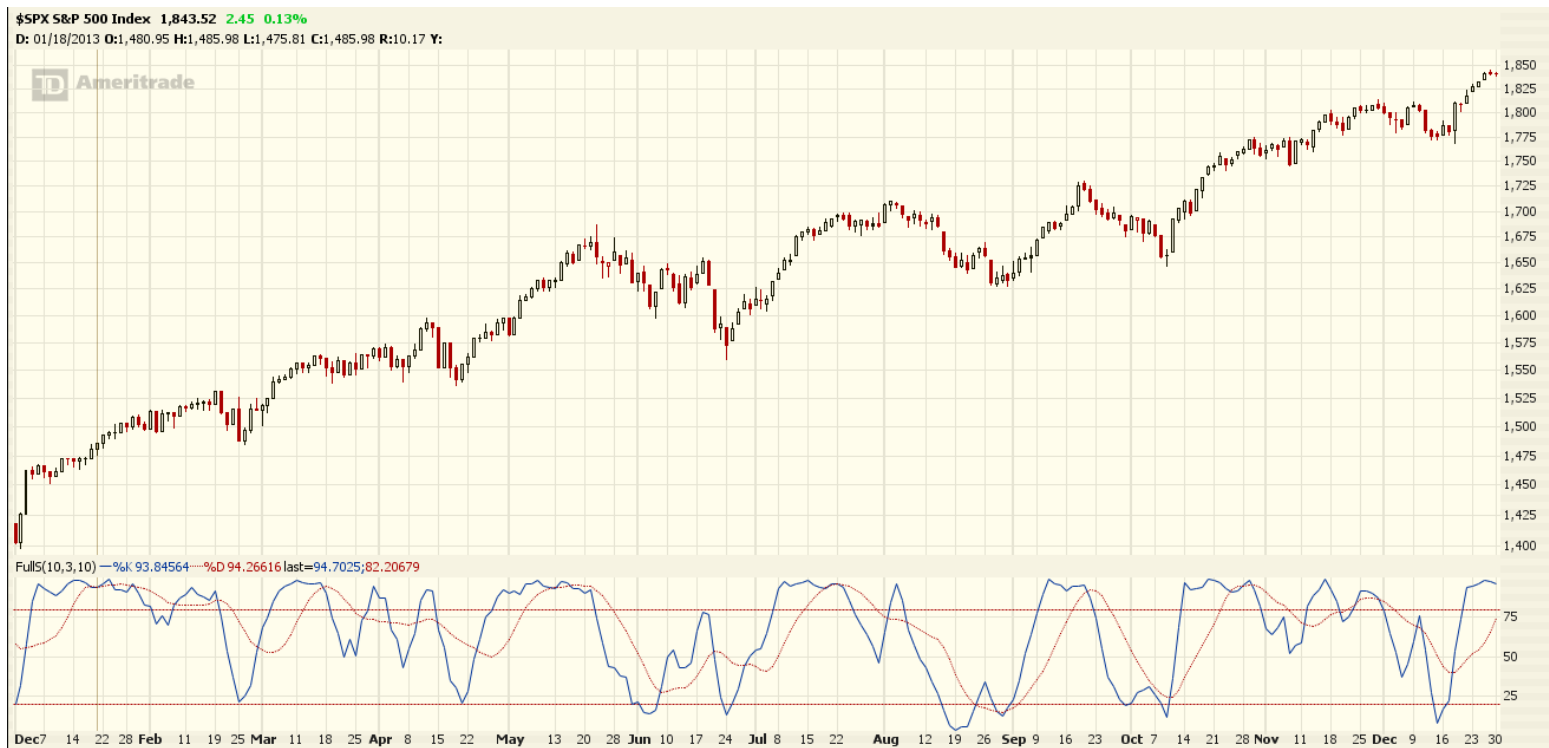
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D: 01/08/2013 O:1,461.89 H:1,461.89 L:1,451.64 C:1,457.15 R:10.25 Y:1,871.394

Ameritrade



More = Better?

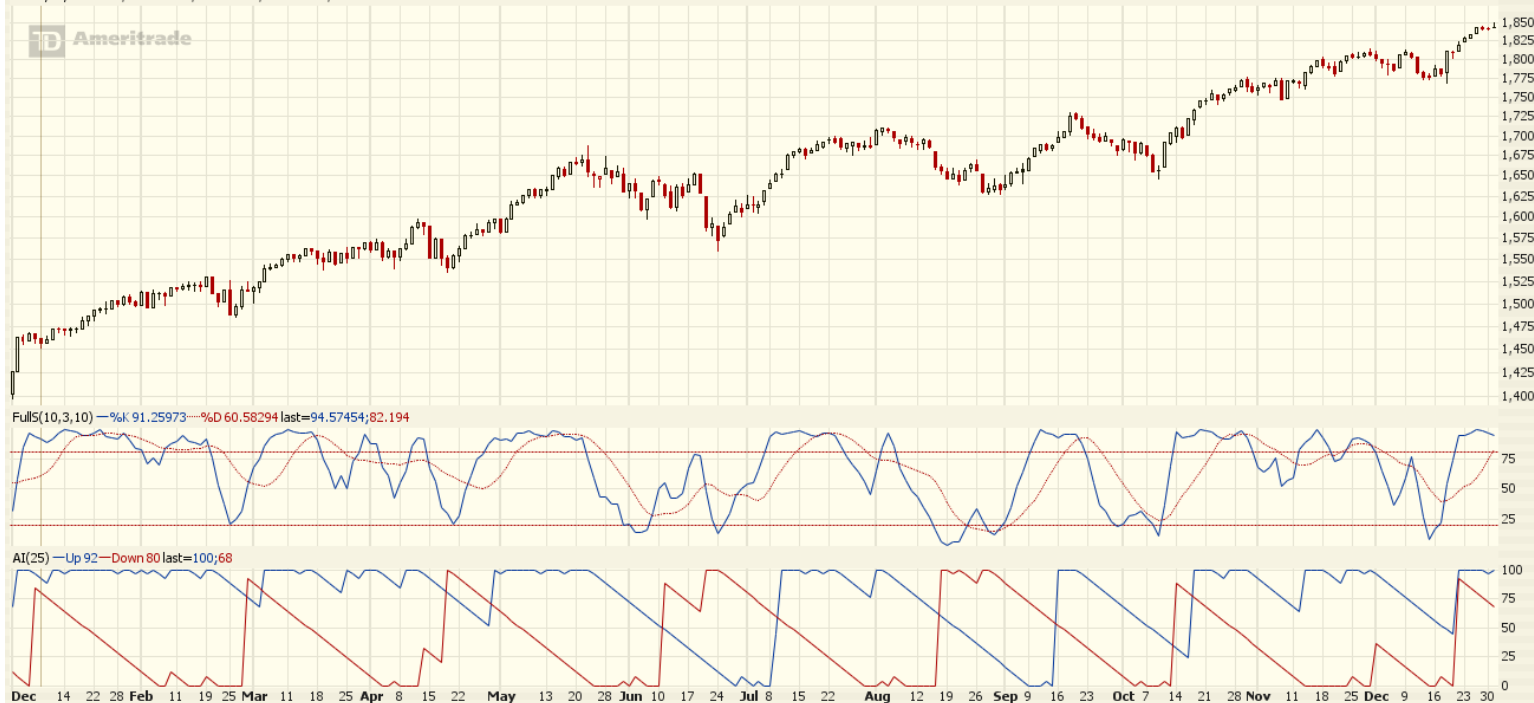


More = Better?

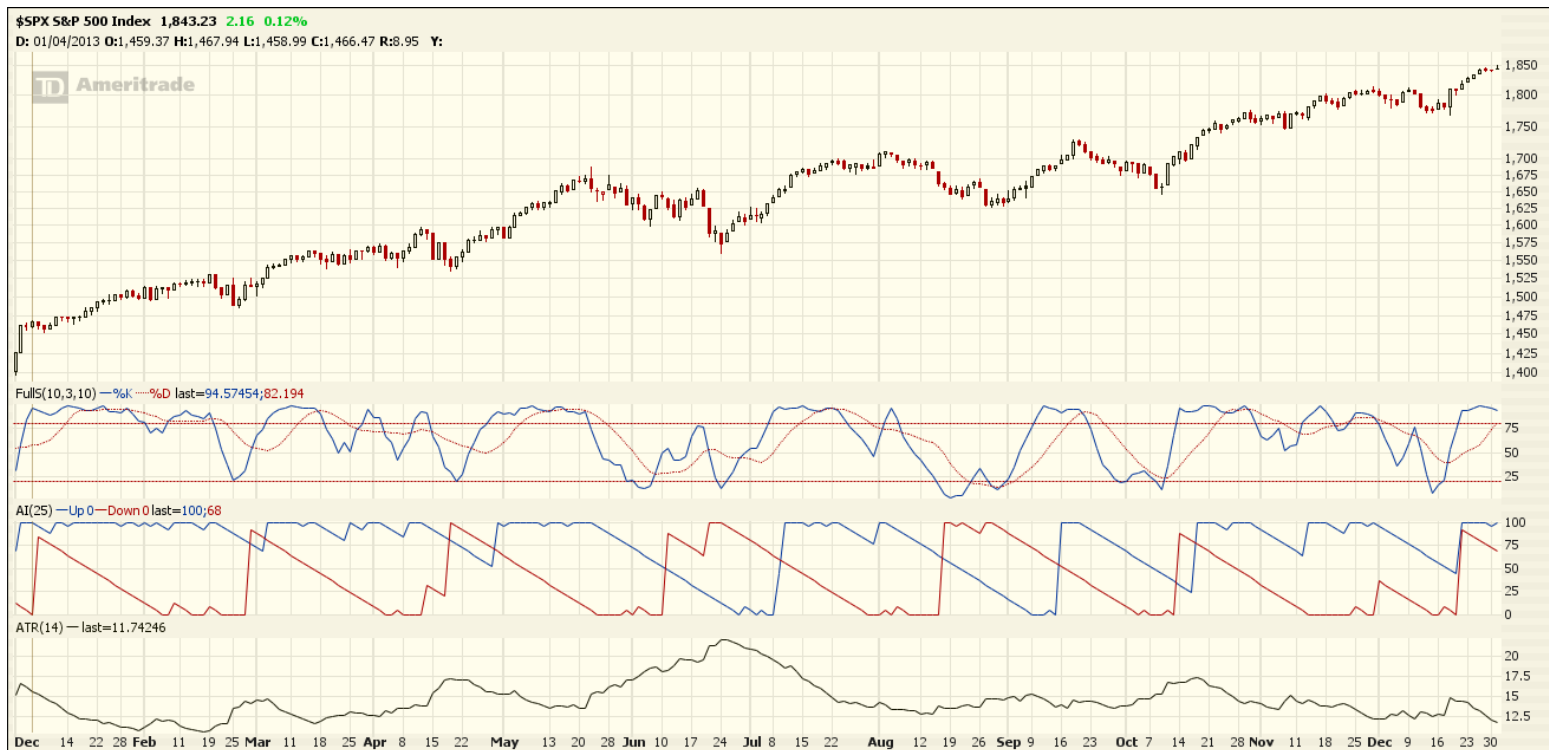
\$SPX S&P 500 Index 1,843.23 2.16 0.12%

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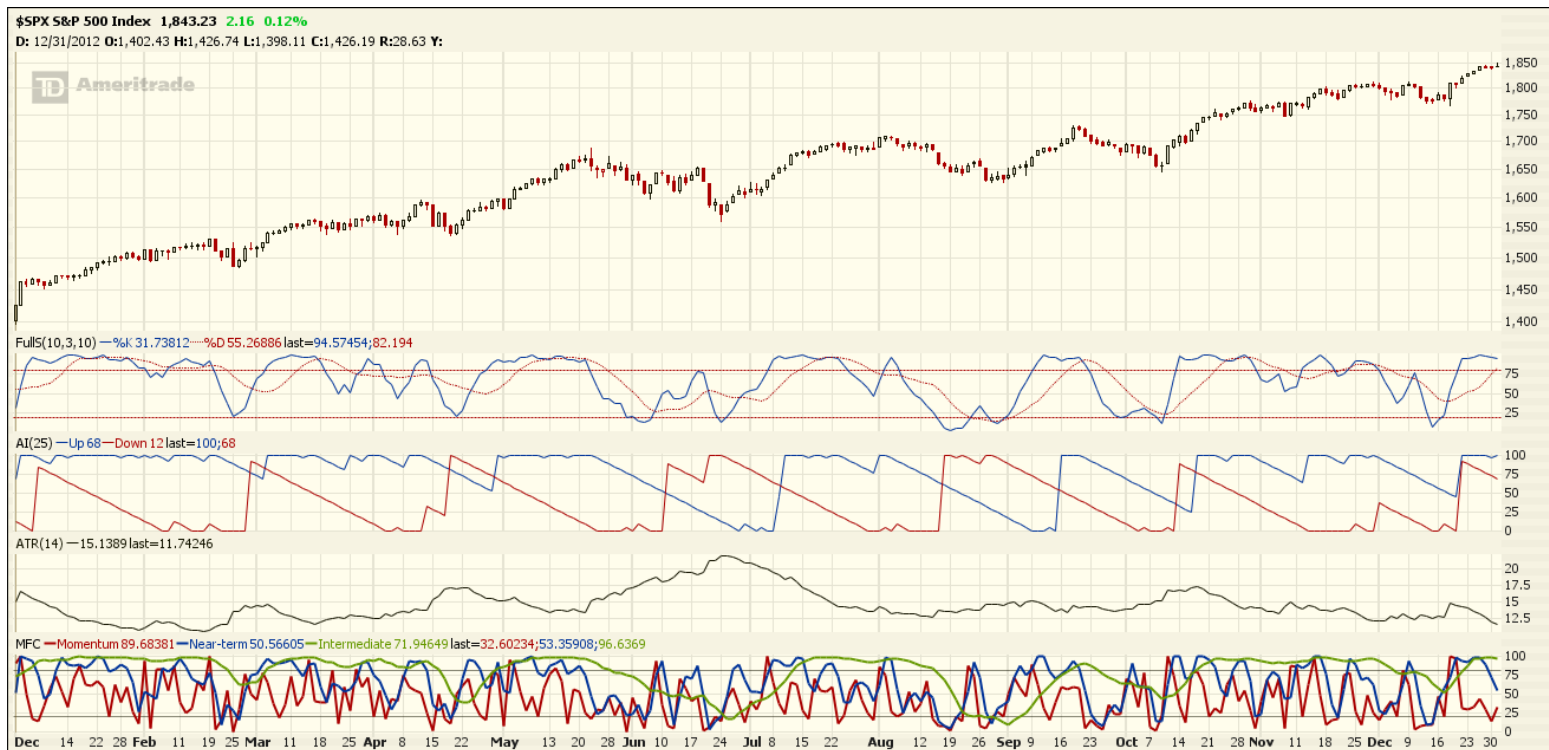
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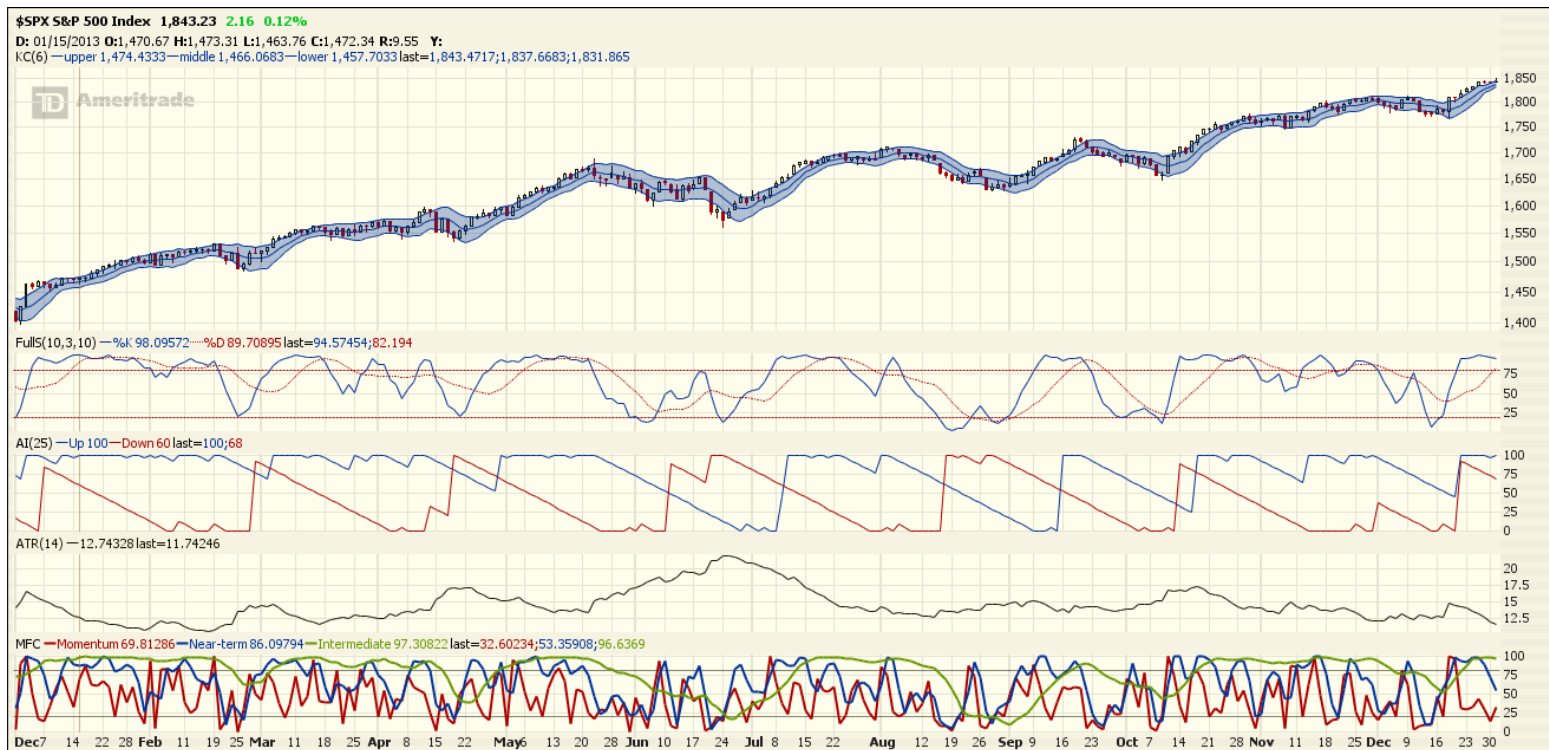
More = Better?



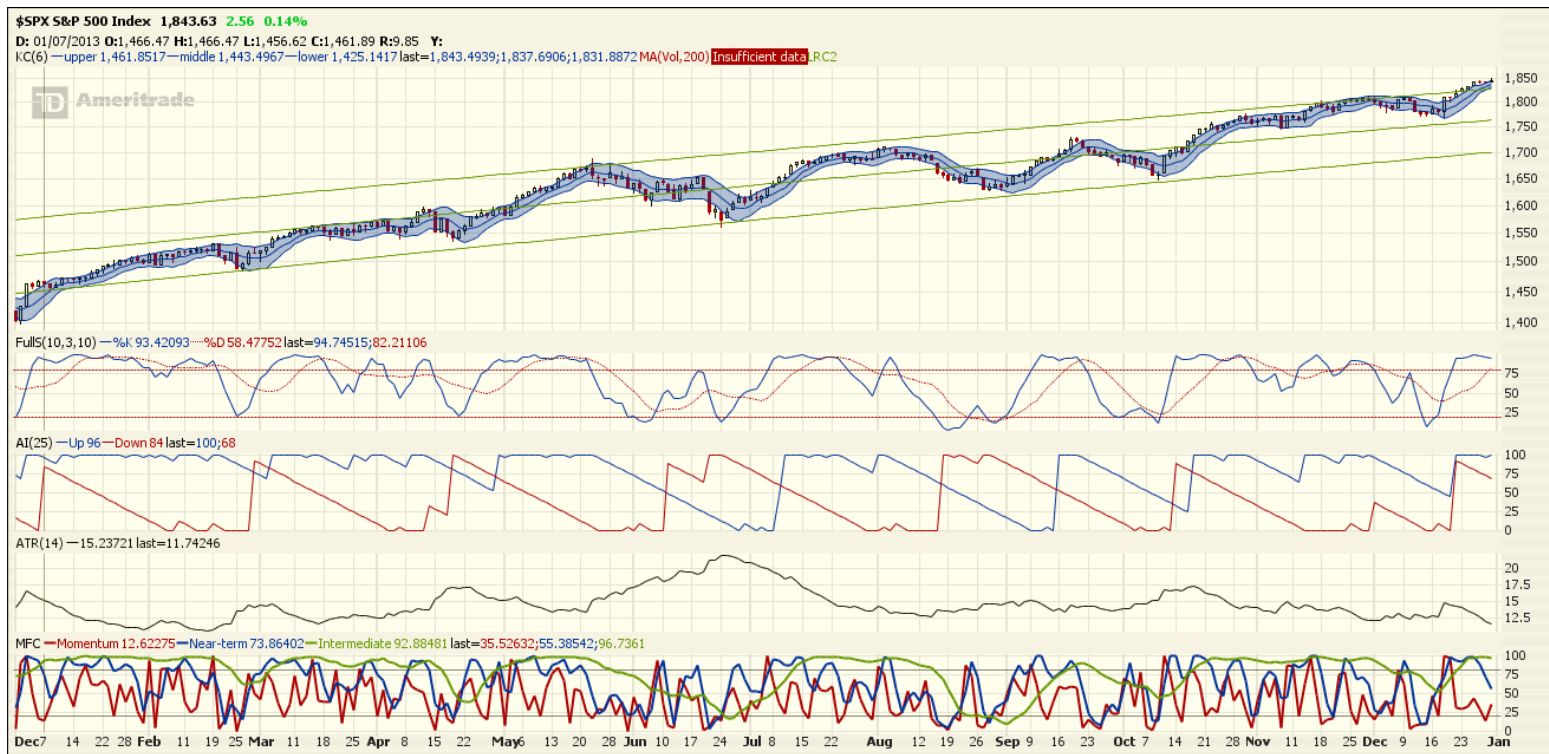
More = Better?



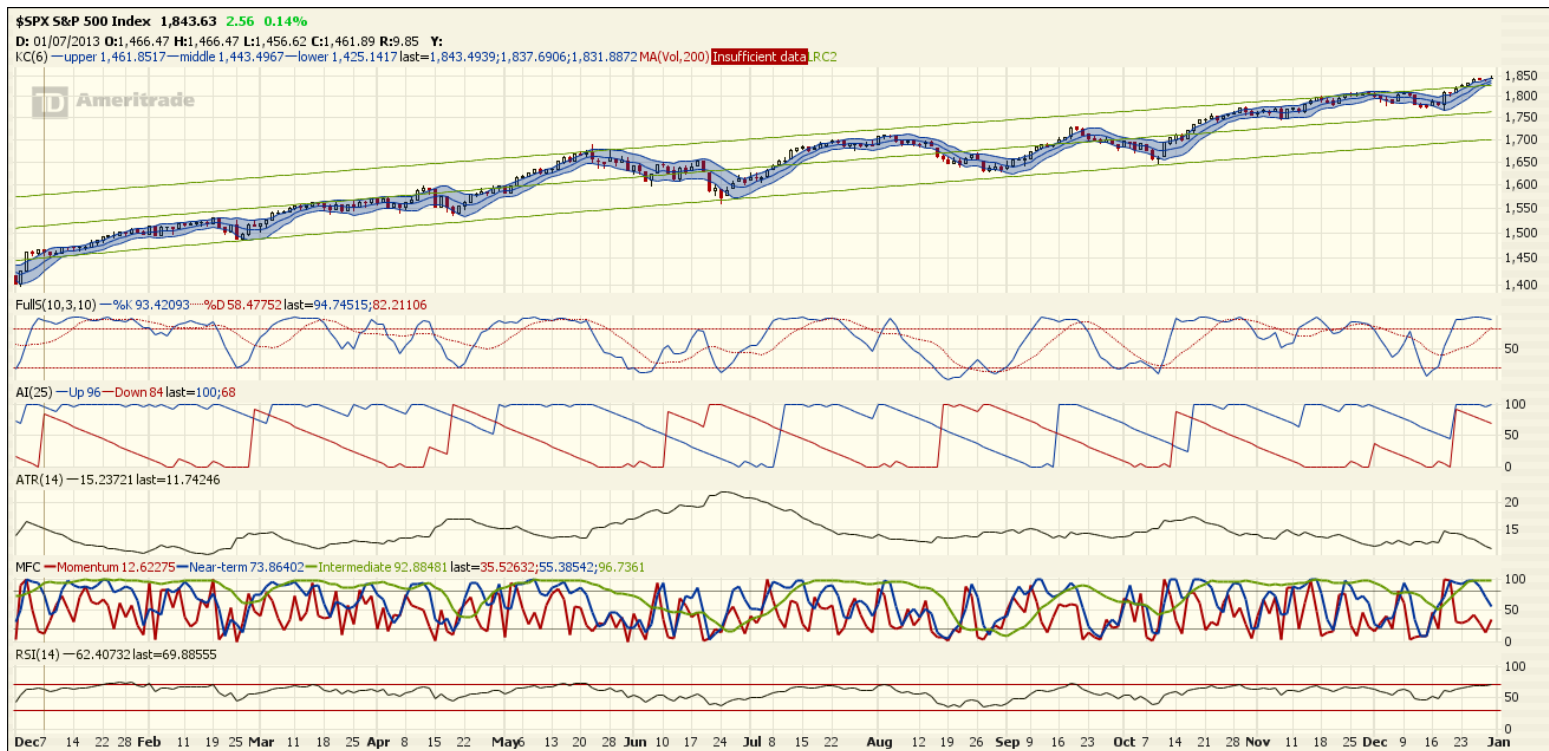
More = Better?



More = Better?



More = Better?



Pretty soon we're getting to the point where we're ignoring price and only looking at the colored lines.

If you recall, this is the definition of the “Squiggle Trader” stage from the “Trader Progression.”

The problem with indicators is that they are all based on price and volume, so by nature they are a “derivative” of price and volume, thus “trailing.”

If you are more price-focused, and only save the studies for “decision” metrics, you should improve your accuracy as a trader.

In addition you will have a much better “feel” for what the price is doing, and will be less confused by what price is actually doing.

I could remove everything from my chart
except for price, and would still do fine. Less is
More.

Let's start by seeing what types of tools that we can employ for analyzing price action....

2) What Types of Price Analysis Can We Do?

We can do Dow Theory Trends.

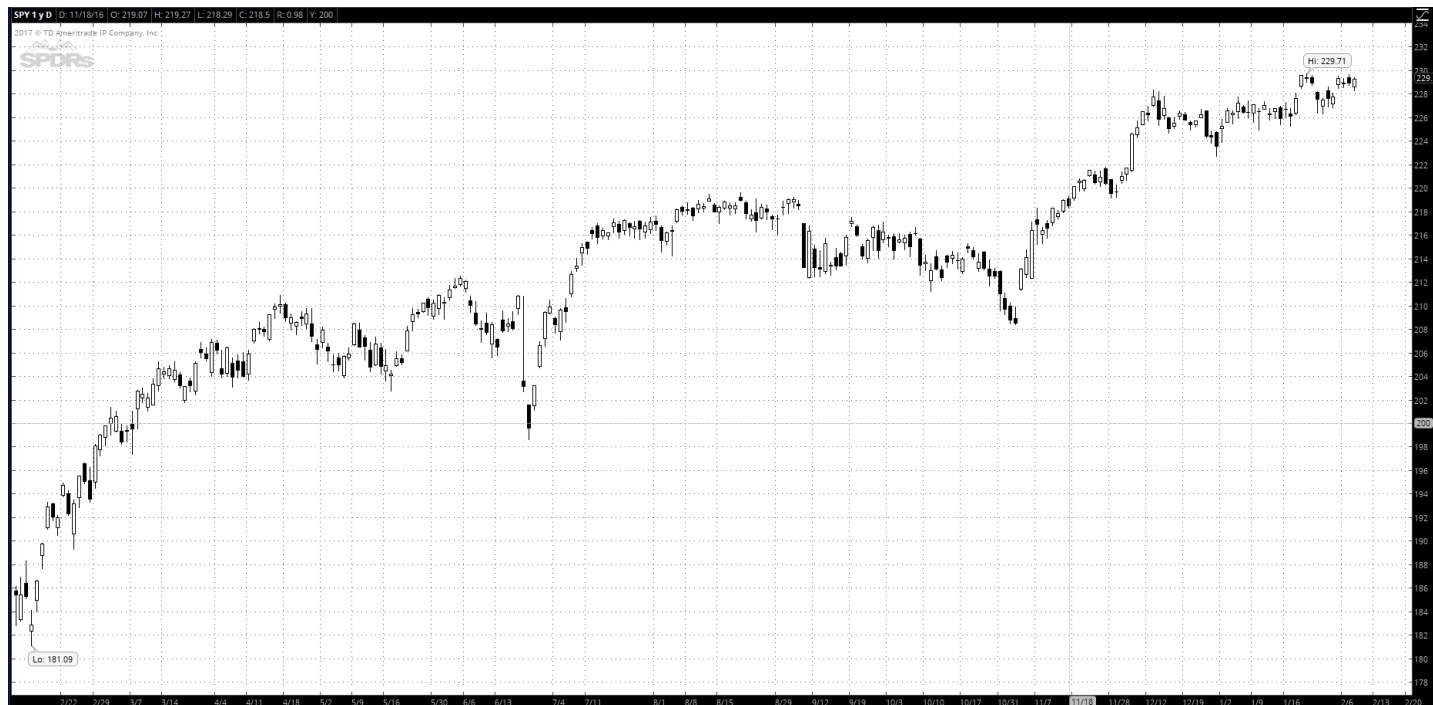
We can do Candlestick Analysis and Patterns.



We can do chart patterns.



We can do Elliott Wave Counts....



We can use Heikin-Ashi Candles:



We can use Range Bars



Let's cut out the fancy stuff and just focus on what the price is telling us...because we really need just two things:..

1) What direction/trend is the price currently in?

2) What would have to occur for the price to reverse direction or change polarity?

Three Different Trend States

- Uptrend
- Downtrend
- Chop/Trendless

Uptrend State

- A series of consecutive higher highs...
- And higher lows
- This gets broken if/when the price prints a “lower high”
- And changes polarity if the price then puts in a subsequent “lower low”

Downtrend State

- A series of consecutive lower highs...
- And lower lows
- This gets broken if/when the price prints a “higher low”
- And changes polarity if the price then puts in a subsequent “higher high”

Chop/Trendless

- An uptrend pulls into a “lower high”
- But does not print a “lower low”
- Or a downtrend pulls up a “higher low”
- But does not subsequently print a “higher high”

The rest of this session we are going to do price examples to train your eye...we'll do these with the full chart and then “hard right edge.”

Questions?